

Private Market Data vs Public Market Data

Interview Cheat Sheet — Private Markets / Aladdin / Institutional Investing

1. The core difference

Public markets: information is generally more standardised, frequent and transparent. Prices are observable in the market and companies have formal disclosure requirements.

Private markets: information is more fragmented, less frequent and less standardised. Data often comes from portfolio companies, GPs, administrators, valuations and bespoke reports.

Dimension	Public markets	Private markets
Assets	Listed equities, bonds, derivatives	PE, private credit, infrastructure, real estate
Pricing	Observable market price	Often valuation/model/appraisal based
Frequency	Intraday / daily / quarterly	Often monthly / quarterly / annual
Transparency	Higher disclosure requirements	Lower; information shared privately
Data format	More standardised feeds	Excel, PDFs, reports, bespoke files
Liquidity	Generally higher	Generally lower / long lock-ups
Key challenge	Market noise & high volume	Data quality, consistency & comparability

2. Why do we need private-market data?

- **Portfolio visibility:** institutional investors increasingly hold both liquid and private assets; without private data, the portfolio view is incomplete.
- **Risk management:** understand leverage, concentration, liquidity, covenant exposure, valuation risk and scenario outcomes.
- **Performance:** measure NAV, cash flows, IRR, MOIC, DPI and TVPI and understand the drivers of returns.
- **Portfolio construction:** compare private investments with public assets and assess diversification and exposures.
- **Decision-making:** better underlying data supports better investment, valuation and capital-allocation decisions.

3. Why private-market data is more interesting

It is harder data. The challenge is not simply collecting numbers; it is turning heterogeneous information into **structured, validated and comparable data**.

- Different companies define KPIs differently.
- Data arrives in different formats and at different frequencies.
- Valuations may be model-based rather than continuously observable.
- Operational data can matter as much as financial data (e.g., traffic, occupancy, energy generation).
- A single investment can combine financial, legal, contractual, operational and ESG information.

4. Asset-class data — know these examples

Asset class	Typical data	Main question
Private Equity	Revenue, EBITDA, margins, debt, valuation, entry/exit multiples, cash flows	Is the company growing and creating value?
Private Credit	Loan balance, interest, maturity, covenants, leverage, coverage, defaults	Will the borrower repay and is the risk compensated?
Infrastructure	Capacity, utilisation, traffic, tariffs, contracts, generation, maintenance, cash flows	How valuable are the asset's long-term cash flows?
Real Estate	Rent, occupancy, leases, NOI, cap rate, property value, energy data	How valuable is the property and how much income does it generate?

5. What AI & ML can bring

AI / ML use case	Value
Document extraction	Extract financials, KPIs, covenants and terms from PDFs, Excel and reports.
Data normalisation	Map inconsistent labels/definitions into a common data model.
Entity resolution	Match companies, funds, assets and transactions across different sources.
Data quality	Detect missing, inconsistent or anomalous values.

AI / ML use case	Value
Forecasting	Predict revenue, cash flow, defaults, utilisation or other KPIs.
NLP / GenAI	Summarise investment reports and identify material changes or risks.
Risk & anomaly detection	Flag unusual movements in leverage, margins, valuations or operating metrics.

6. Interview answer to memorise

"Private-market data is strategically important because it gives institutional investors visibility into a growing and less transparent part of their portfolios. Compared with public-market data, it is more fragmented, less standardised and often less frequent. The opportunity is therefore not just to collect the data, but to ingest, normalise, validate and integrate it so that it can be used consistently for valuation, performance, risk and portfolio construction. AI and ML can accelerate this by extracting information from unstructured documents, standardising data, detecting anomalies and generating forward-looking insights."

7. One-line mental model

Public markets: observable price + standardised data → fast analytics.

Private markets: fragmented information + valuation + operational data → data engineering + analytics + AI.

8. Keywords to know

PE: EBITDA, EV/EBITDA, leverage, FCF, MOIC, IRR, DPI, TVPI, NAV.

Data: ingestion, normalisation, validation, entity resolution, data lineage, alternative data, unstructured data.

AI/ML: NLP, document extraction, classification, anomaly detection, forecasting, embeddings, human-in-the-loop.